MARKET ASSESSMENT

Home Services M&A

A Buy-Side Market Assessment for Acquirers, 2025–2026

$753–768B
SIX TRADES, U.S. REVENUE

50.6%
PE SHARE OF HVAC DEALS

$20B+
FIVE RECAPS IN 18 MONTHS

4–8x → 16–20x
ADD-ON VS. PLATFORM

~35–45K
ACQUIRABLE HVAC/PLUMBING

~89%
SHOPS UNDER 20 STAFF

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EXECUTIVE SUMMARY

- **The market is large and structurally fragmented.** The six primary home services trades (HVAC, plumbing, electrical, roofing, pest control, garage doors) total roughly **$753–768B in combined U.S. revenue** across ~250,000+ businesses, with no single entity commanding 20% share in any major vertical. *(Corrected from a prior ">$600B" headline that sat against an $835.5B table total; see A.0 — the electrical component was overstated and the headline understated the table.)* The HVAC + plumbing core sits inside a ~$328–392B contractor revenue base; ~89% of the ~111,000 combined NAICS 238220 establishments have fewer than 20 employees and remain independent.

- **PE now drives the majority of deal flow, and the top of the market re-priced hard in 2024–2026.** PE share of HVAC deals went from 8% (2023) to 50.6% (H1 2025). Five platform recaps between Nov 2024 and May 2026 totaled $20B+: **Apex $10B (~20x, Apollo minority, May 2026), Champions ~$2.5B (~18.5x, Blackstone, Feb 2026), Sila ~$1.7B (~17x, Goldman, Nov 2024), Redwood ~$1.1B (~17x, Altas, May 2025), Guild Garage >$800M (~16x, Oak Hill, Mar 2026)** — plus Service Logic to Bain/Mubadala (Dec 2025).

- **Multiple arbitrage remains mathematically robust but is compressing at the platform level.** Add-ons still trade at 4–8x while platforms recap at 16–20x. GF Data shows H1 2025 platforms and add-ons both averaging ~7.2x in the broader LMM — the convergence itself is a compression signal at the mid-market layer even as trophy platforms clear 18–20x.

- **The binding constraints on the thesis are no longer capital or target supply.** They are (1) technician labor supply (structural ~110K HVAC shortage; projected 550K plumber shortfall by 2027; ~40,100 HVAC and ~44,000 plumbing openings/year through 2034 per BLS), (2) lead-cost inflation ($104 blended Google CPL; $804 cost per paying customer on non-branded search), and (3) equipment cost shocks (A2L transition + SEER2 + tariffs stacking to 15–30% equipment inflation).

- **The residential cycle is roughly mid-game.** The best platform-quality assets in tier-one Sun Belt and coastal metros are picked over (DFW, Houston, Phoenix, Atlanta, Tampa, SoCal each host 4–5+ platforms). The remaining edge for new-entrant buyers is **platform formation in under-consolidated metros** (Mountain West, Pacific Northwest secondary, Northern New England, upper Midwest, second-tier Sun Belt) and **tuck-in density** everywhere else.

PART I — MACRO & CAPITAL ENVIRONMENT

1.1 Dry powder and the essential-services rotation

Global PE dry powder reached approximately **$2.62 trillion by end-2024** (Bain Global PE Reports 2025/2026), with roughly **$1.2 trillion actively hunting essential-services assets**. With SOFR in the low-4% range through mid-2026 and public software valuations volatile, institutional capital has rotated toward infrastructure-like assets with stable, long-duration cash flows — and home services fits the mandate flawlessly:

- **Non-discretionary demand:** A failed water heater, broken chiller, or dead furnace demands immediate remediation regardless of macro conditions.
- **Granular customer base:** Tens of thousands of individual homeowners; zero customer concentration risk.
- **Un-offshorable, un-automatable physical work:** A formidable defensive moat.
- **Inflation pass-through:** Platforms have raised residential prices faster than inflation since 2018.

Apollo, Goldman Sachs, Blackstone, Leonard Green, Bain Capital, KKR, and Brookfield have all capitalized platform entities specifically to execute roll-ups in North American home services. **Aggregate PE capital deployed into residential home services since 2018 exceeds $50B.**

1.2 Multiple arbitrage mechanics

The financial engine of the supercycle: acquire independent companies at low multiples, integrate into a platform commanding a higher multiple, create instant enterprise value without changing the underlying cash flow.

- An independent contractor at $2M EBITDA trades at **4–6x** ($8–12M EV).
- Absorbed into a platform generating $50–100M+ aggregate EBITDA valued at **15–20x**, the same $2M of cash flow is marked at **$30–40M**.
- If a platform is valued at 8x and buys add-ons at 5x, the sponsor creates **$3 of arbitrage per $1 of add-on EBITDA acquired** — before any operational improvement, purchasing synergy, or organic growth.

1.3 Valuation matrix by revenue tier (2026)

REVENUE SCALE / TIER	PRIMARY METRIC	IMPLIED MULTIPLE (HVAC/PLUMBING/ELECTRICAL)	DOMINANT BUYER UNIVERSE
Under $3M	SDE	2.5x – 4.0x	Owner-operators, search funds, local competitors
$3M – $5M	Adj. EBITDA	4.0x – 6.0x	Independent sponsors, LMM PE tuck-ins
$5M – $10M	Adj. EBITDA	5.0x – 8.0x	Core PE platforms, regional strategics

REVENUE SCALE / TIER	PRIMARY METRIC	IMPLIED MULTIPLE (HVAC/PLUMBING/ELECTRICAL)	DOMINANT BUYER UNIVERSE
$10M – $20M	Adj. EBITDA	5.5x – 10.0x	Aggressive PE roll-ups, national strategics
$20M+ (platform)	Adj. EBITDA	8.0x – 15.0x+	Mega-cap PE, sovereign wealth, institutional
Trophy platforms ($100M+ EBITDA)	Adj. EBITDA	16x – 20x	Apollo/Blackstone-class recaps

Cross-referencing EBITDA-band pricing from the market assessment: sub-$500K SDE trades at 2–4x; sub-$1M EBITDA at 3–5x; sub-$2M at 4–8x; $2M+ with recurring revenue at 6–11x.

1.4 Revenue multiples vs. EBITDA multiples

Buyers strictly underwrite EBITDA multiples — that is the cash available to service acquisition debt. The conversion: **implied EV/EBITDA = revenue multiple ÷ EBITDA margin.** A 6x EBITDA multiple on a 15%-margin business = 0.9x revenue; a 2.0x revenue multiple on a 5%-margin business = an unsupportable 40x EBITDA. Any "1x revenue" press headline is a disguised EBITDA multiple. Sellers should protect gross margin, not chase top line — revenue without cash flow yields minimal enterprise value.

1.5 Information asymmetry and Quality of Earnings

The arbitrage playbook is executed through a diligence asymmetry between institutional buyers (dedicated sourcing teams, QofE firms, M&A counsel) and independent sellers (cash-basis books, no SOPs, volume-incentivized local brokers). Standard buyer levers during the 4–6 month post-LOI window:

- **QofE add-back rejection:** Contractor books commonly mingle personal/business expenses and lack monthly closes → **20–40% price chips** in diligence; sellers typically lose **5–15% of headline EBITDA** in QofE. Worked example: a $14M-revenue Texas HVAC company claiming $3.0M adjusted EBITDA loses $400K of undocumented add-backs → at 6x, **$2.4M of enterprise value evaporates**.
- **Owner-dependency discount:** 20–30% discount or heavy earnout when the business cannot function without the founder.
- **Concentration penalties:** Customer concentration >15–20% (common in new-construction books) discounts hard; extreme revenue concentration among a few top technicians is penalized the same way.
- **Working-capital true-ups:** Routinely cost sellers $100K–$500K at close.

The seller-side counter-playbook (and the smbX-relevant preparation roadmap): accrual accounting, departmental P&Ls by service line, a non-owner management layer, and a documented, transferable technician roster — a 1–3 year preparation arc that defends the multiple.

1.6 The annuity imperative: underwriting recurring revenue

The asset being bought is not trucks or dispatch — it is the **service agreement**. Institutional buyers apply B2B-SaaS frameworks to maintenance books:

- Well-managed operations retain **80–90%** of maintenance customers annually; a substantial share of high-margin replacement revenue originates from the maintenance base (technicians identify aging equipment on scheduled visits).
- Buyers compute ARR from active agreements, apply a gross-margin filter (typically **45–60%** for HVAC maintenance), and scrutinize churn, cohort tenure, contract enforceability, and **auto-charge penetration** (a book above 90% auto-charge materially alters diligence outcomes).
- **The 40% threshold:** Crossing ~40% recurring revenue re-rates the asset from "contractor" to "platform." A company with 30%+ maintenance revenue commands a **1–2 turn premium** over an identical-revenue peer below 15% recurring. The landscape report goes further: recurring-revenue mix can swing multiples **±3–4 turns** (a $4M-EBITDA shop at 60% recurring trades 8–9x vs. 5–6x at 20% recurring).

1.7 "The Trap" at closing

Residential customers are loyal to the **technician**, not the brand. Service agreements can carry change-of-control provisions and show elevated attrition if integration disrupts service quality. One documented case lost **15% of its member base** after centralized pricing changes. Acquirers must map technician retention and audit the contractual language of the recurring book **before LOI** — a buy-and-hold owner has no flip mechanism if the technicians and the customer book walk after closing.

PART II — MARKET SIZING

2.1 TAM / SAM / SOM — HVAC & plumbing core

TAM.

- **HVAC contractors:** ~$158.4B (2025) / ~$159.4B (2026) per IBISWorld; 2.6% CAGR 2021–26.
- **Plumbing:** figures diverge by definition — IBISWorld/ServiceTitan ~$121.5B (mid-2024); MRFR ~$120B (2024); Linxup and others ~$169.8B (2025); the Supercycle analysis projects **$191.4B (2026, 3.1% CAGR)**. Higher figures fold in more new-construction and commercial. Underwrite the range, not a point.
- **Combined NAICS 238220 (Census):** ~$392B revenue, 111,200 establishments, 1.21M workers (**2022 Economic Census, table EC2223BASIC** — corrected 2026-07-26; this was previously attributed to County Business Patterns, which publishes establishments, firms, employment and payroll but never receipts). Three scope labels travel with the figure: it is **combined** (one code, two trades), **employer-only**, and **total-market**, not residential.
- **Residential slice:** HVAC splits roughly residential 40% / commercial 30% / other; nonresidential is >two-thirds of plumbing revenue. The residential HVAC service/repair segment alone is ~$28.2B (Mordor). Replacement & retrofit = 62.5% of the HVAC equipment market, growing 7.1% CAGR, with ~8M units replaced annually vs. 1–1.5M new-construction installs (~6:1).

SAM. The privately held independent base: with no firm above 5% share and 76% of critical-trade operators still true independents (McKinsey), the acquirable universe is on the order of **~$100–150B of residential-weighted HVAC+plumbing service revenue across 100,000+ independent firms**.

SOM. Constrained by platform-quality supply, capital, and integration bandwidth. Given ~89% of firms are sub-20-employee and PE already takes >50% of deal flow, the realistic near-term SOM for a single new aggregator is a **regional density play** — a few hundred million to low-billions of revenue from 20–60 tuck-ins over a hold period, not a national share grab.

Growth basis: low-to-mid single digits on contractor revenue; 7.4–7.5% on equipment value (price inflation + heat-pump mix). Underwrite mid-single-digit organic as the conservative base.

2.2 Six-trade sector teardown

VERTICAL	2026 EST. MARKET	U.S. BUSINESSES	DEMAND CATALYST	INSTITUTIONAL APPEAL	CONSOLIDATION MATURITY
Electrical	**~$265–280B** (2026)	~79,611 employer firms	Grid, EV, AI data centers	Multi-year commercial backlogs	**Residential: early**
Plumbing	$191.4B	~129,000	Code compliance, emergencies	Margin-expansion arbitrage	Early-to-mid
HVAC	$158.4B	~118,433	Climate control, unit lifecycle	Highest recurring-revenue attach	Late stage (most active)
Roofing	$92.5B	~101,679	Storm damage, aging stock	Extreme fragmentation (CRS 88.6)	Early

VERTICAL	2026 EST. MARKET	U.S. BUSINESSES	DEMAND CATALYST	INSTITUTIONAL APPEAL	CONSOLIDATION MATURITY
Pest control	$29.7B	~33,000	Hygiene, infestations	Highest recurring revenue (74%)	Late (oligopoly)
Garage doors	$16.0B	n/a	Non-cyclical breakdown	Uncorrelated demand, high margins	Rapid acceleration

Sector notes:

- **HVAC** is the blueprint and proving ground — a decade of refinement, now the most consolidated trade, with the Apex/Champions/Sila/Redwood comps resetting the valuation ceiling.
- **Plumbing** is the fragmented giant: larger than HVAC, ruthlessly non-discretionary, no company above ~2% national share, and a massive margin dispersion (industry-leading 20–35% net vs. a 2–8% median) that makes underperforming independents the highest-arbitrage targets — platform pricing methodology and job-costing software yield immediate margin expansion. Fixture/material costs up 30%+ since 2020 squeeze the undisciplined.
- **Electrical** rides the electrification supercycle: Goldman projects U.S. data-center power demand more than doubling from 31 GW (2025) to 66 GW (2027); electrical is 45–70% of data-center construction cost. Data-center/healthcare capability commands a 1–2 turn premium; MYR Group paid $328M for two regional commercial contractors in late 2025; the top-50 electrical contractors consolidated a record $59.5B revenue in 2025.
- **Pest control** is the high-multiple standard: 74% recurring revenue, independents trading 6–10x, consolidated by a global oligopoly (Rentokil/Terminix ~$6.8B, Rollins $3.76B with 26 acquisitions in 2025, EQT-backed Anticimex) — but 33,000 independents remain, and rising compliance/software burden accelerates their willingness to sell.
- **Garage doors** is "PE's next HVAC": non-cyclical breakdown demand, DIY-proof (spring injuries), validated by Guild Garage (self-funded $35M in 2024 → 25–30 tuck-ins → $300M revenue / $50M EBITDA → **Oak Hill at >$800M / ~16x in March 2026**) and by KKR's C.H.I. Overhead Doors 9.8x return (2015–2022).
- **Roofing** is the blank canvas: CRS 88.6, 90.8% of 24,044 employer firms under 20 employees, ~64% under four; but revenue is non-recurring and storm-cyclical, so it must be underwritten as a pure fragmentation play (centralized purchasing + D2C marketing), with high-performer multiples around 8.4x.

2.3 Structural fragmentation: the Consolidation Runway Score (CRS)

CRS (from Census SUSB enterprise data) measures revenue/employment dispersion across small firms vs. consolidated entities. Verticals above 85 can absorb buy-and-build for decades before target scarcity compresses spreads.

RANK	VERTICAL	NAICS	TOTAL FIRMS	<20 EMP.	500+ EMP. SHARE	CRS
1	Residential remodelers	236118	132,711	97.8%	3.7%	97.8
2	Flooring contractors	238330	17,777	96.1%	3.7%	95.2
3	Painting contractors	238320	37,830	95.6%	5.9%	93.8

RANK	VERTICAL	NAICS	TOTAL FIRMS	<20 EMP.	500+ EMP. SHARE	CRS
4	Auto repair (general)	811111	79,429	97.5%	10.5%	93.4
5	Pool service	561790	17,342	95.8%	8.4%	93.2
8	Roofing contractors	238160	24,044	90.8%	7.2%	88.6
22	**Plumbing/HVAC**	**238220**	—	~89%	**18.0%**	—
26	Electrical contractors	238210	79,611	n/a	21.6%	81.1

Note the signal in the 238220 line: HVAC/plumbing's 18% large-enterprise share vs. 3.7% for remodelers reflects **a decade of active platform building** — it is the most consolidated of the fragmented trades, yet still overwhelmingly independent at the establishment level.

PART III — CONSOLIDATION STATE & REMAINING INVENTORY

3.1 PE share of deal flow and ownership

- **Deal flow:** 8% of HVAC deals (2023, Axial) → 23% (2024) → **39 of 77 deals / 50.6% (H1 2025, Capstone)**, holding >50% through mid-2026. S&P Global: PE add-ons targeting HVAC services up 88% YoY through June (32 vs. 17). Capstone counted 149 HVAC-services deals in 2025 (+12.9%) while broader industrial M&A fell 24.6%.
- **Ownership:** ~11% of employer HVAC businesses are PE-owned; independents represent ~48% of industry employment (Grata). >60% of the top-50 HVAC firms and >50% of top plumbing firms are PE-backed. Yet **76% of critical-trade operators remain true independents** (McKinsey); in plumbing repairs, ~70% of market share is held by independents. Grata counts 126,000+ privately owned HVAC companies.
- **Cycle read:** Residential is roughly mid-cycle; commercial mechanical has a longer runway. The consistent exit pattern is **sponsor-to-sponsor trading** — platforms recapitalize into ever-larger funds (and now perpetual vehicles like Blackstone BXPE) rather than exiting the PE ecosystem.

3.2 Remaining independent inventory by size band

Structural caveat: NAICS 238220 is a single combined code; Census cannot split HVAC from plumbing at the establishment level. IBISWorld splits them on a proprietary, non-additive basis (its 120K HVAC + 129K plumbing figures include non-employers and dual-trade double counts; they cannot be reconciled to the Census 111K employer-establishment base).

MEASURE	FIGURE	SOURCE
Combined 238220 establishments	~111,200 (2022)	Census CBP
HVAC-focused businesses	120,461 (2026), +1.7% YoY	IBISWorld
Plumbing-focused businesses	128,787 (2026), +1.1% YoY	IBISWorld
Establishments <20 employees	~89% (~97,000–99,000)	Census CBP
20–99 employees	~9–10% (~10,000–12,000)	Census/analyst
100+ employees	~1–1.5% (~1,000–1,500)	Census/analyst

Revenue mapping (analyst-derived): average HVAC firm ~$1.2M revenue, average plumbing firm ~$1.28M; the sub-5-employee majority maps to <$1M; the ~89% under 20 employees maps broadly to <$3–5M. **Platform-ready operators ($5M+ revenue / $1M+ EBITDA) number in the low tens of thousands at most**; institutional-scale platforms ($50M+) are a handful, tracked at ~27 named HVAC and ~23 plumbing PE platforms. SBA's small-business standard for 238220 is $19M average receipts — nearly the entire industry qualifies as "small."

Implication: The tuck-in universe is enormous (~97,000 sub-20-employee shops) but the platform/large-add-on universe that moves the needle is scarce and increasingly picked over —

which is exactly why add-on multiples hold firm even as platform multiples face rate pressure.

3.3 Best remaining opportunities

- **Geographies:** Deal flow is densest in FL, TX, the Carolinas, PA, VA, MI, WI, IL, AZ, CA. It is thinner — less picked-over — in the Pacific Northwest, Mountain West, Northern New England, and upper Midwest (detailed metro analysis in Part V).
- **Sub-segments:** Residential service/replacement with maintenance-plan recurring revenue is highest-value/lowest-risk. Avoid new-construction/GC concentration (priced as add-on or excluded from buy-boxes). Commercial mechanical commands premium multiples (data centers, healthcare) but requires different underwriting.
- **Size bands:** $1–3M EBITDA residential is add-on territory with the deepest buyer competition; **$5–15M EBITDA is the sweet spot** with the deepest buyer pool; sub-$1M EBITDA is search-fund/SBA territory where a capitalized platform can buy at 3–5x and arbitrage instantly.

PART IV — THE AGGREGATOR MAP

4.1 Valuation estimation framework (explicit, adjustable)

Most platforms are private. Where EV/revenue/EBITDA are undisclosed, estimates below use this bottom-up model — every assumption is adjustable:

Step 1 — Revenue base (two cross-checked methods):

- *Revenue per field technician:* industry consensus **$200K–$350K/tech/year** for residential service-and-replacement (Prophet Accounting: "$200,000 to $350,000 per technician annually"; Tradesly: $180K–$250K residential HVAC, lower for plumbing). Base case **$250K/tech**; $300K for replacement-heavy Sun Belt; $200K plumbing-weighted. *No hard public ServiceTitan/Nexstar benchmark exists — treat as consensus, not dataset.*
- *Revenue per total employee:* disclosed platform math converges on **~$160K–$230K/employee** (Apex $3B/13,000 ≈ $230K; Redwood >$500M/2,500 ≈ $200K; Champions ~$650M/2,400 ≈ $271K). Default **$180K/employee** where only headcount is known.

Step 2 — EBITDA margin by scale: sub-scale independents 8–12%; regional partially-integrated 12–17%; scaled integrated PE platforms **18–22%** (CT Acquisitions: "18–22% within 24 months" post-integration; Champions ~21.5% actual). Defaults: 15% mid-size, 18–20% tier-one.

Step 3 — EV/EBITDA multiple by tier:

- Tier 1 (national, >$150M EBITDA, tech-enabled, high recurring): **18–20x** (anchors: Apex ~20x, Champions ~18.5x)
- Tier 2 (super-regional, $40–150M EBITDA): **14–17x** (anchors: Redwood ~17x, Sila ~17–20x, Guild ~16x)
- Tier 3 (regional, $15–40M EBITDA): **10–14x**
- Tier 4 (emerging, <$15M EBITDA): **7–10x**

Worked example (Strikepoint): ~2,700 employees × $180K = ~$486M revenue; 15% margin = ~~$73M EBITDA; 13x = **~~$950M EV (estimated)**.

Framework caveats: headcounts blend techs/CSRs/back-office (understates per-tech productivity); recurring-revenue mix swings multiples ±3–4 turns and is unobservable externally; commercial-mechanical platforms trade on backlog/data-center logic and are tabled separately.

4.2 Master platform table — residential HVAC/plumbing/electrical (sorted by EV)

PLATFORM	SPONSOR(S)	LATEST TRANSACTION	BRANDS	EMPLOYEES/TECHS	EST. REVENUE	EV	BASIS
Apex Service Partners	Alpine Investors + Partners Group; Apollo minority	Apollo ~$2B minority at **$10B incl. debt** (May 2026); $3.4B continuation Q4 2023; ~60 add-ons in 2025	75–107 (46 states)	13,000 employees	~$3.0B rev / $500M+ EBITDA	**~$10B / ~20x**	**Disclosed**
Service Logic (commercial-lean)	Bain Capital + Mubadala (Dec 2025)	Recap from Leonard Green	50+ / 140+ locations	5,000+ techs	~$2B+	**~$3.1–4.1B**	Trade-press (sources conflict — see Appendix)
Champions Group	Blackstone BXPE (Feb 2026)	~$2.5B on ~$140M EBITDA (~18.5x); prev. Odyssey	20–23	2,400 / 1,800 techs; 150K members	~$650M	**~$2.5B / ~18.5x**	Press-derived
Wrench Group	Leonard Green + TSG + Oak Hill	$1.3B debt refi Sep 2025 (Blue Owl/Oak Hill)	17–28	~7,300	~$1.3–1.5B (est.)	**~$2.0–2.6B** (est.)	Estimated
ARS / Rescue Rooter	GI Partners + Charlesbank (2020)	2026 sale explored	~25 / 70+ centers, 23 states	~6,500	~$1.2B (est.)	**~$1.5–2.0B** (est.)	Estimated
TurnPoint Services	OMERS PE (from Trivest, 2020)	Long hold	57	~6,000	~$1B+	**~$1.5–2B** (est.)	Rev prior-reported; EV est.
Sila Services	Goldman Sachs Alternatives (Nov 2024)	~$1.7B / ~17x trailing (just under $100M EBITDA); prev. MSCP	40+	2,000+	~$500M	**~$1.7B / ~17–20x**	EV press-disclosed
Redwood Services	Altas Partners (May 2025)	Majority recap from Union Main; 35+ acquisitions in 4 yrs	18–23	2,500+	>$500M	**~$1.1B / ~17x**	**Disclosed**
Strikepoint (ex-Horizon)	New Mountain Capital	Rebrand 2024	25–30	2,700 / 1,500 vehicles	~$486M (est.)	**~$900M–1.0B** (est.)	Estimated

PLATFORM	SPONSOR(S)	LATEST TRANSACTION	BRANDS	EMPLOYEES/TECHS	EST. REVENUE	EV	BASIS
Guild Garage Group	Oak Hill Capital (Mar 2026)	>$800M / ~16x on ~$50M EBITDA; ~29–30 acquisitions since 2024	28–30	500+ techs	>$300M	**>$800M / ~16x**	**Disclosed** (Reuters)
The SEER Group	Genstar Capital (2023)	42+ acquisitions	37–42 (11+ states)	~1,500 (est.)	~$434M (reported)	**~$700–900M** (est.)	Rev reported; EV est.
Southern Home Services / NAEHS	Gryphon Investors (Oct 2021)	Dunn's Mar 2026	53 (holdco)	est.	est.	**~$500M–1B** (est.)	Estimated
Heartland Home Services	The Jordan Company + Cobepa (Dec 2020)	Long hold	42	1,700+	~$300–400M (est.)	**~$500–700M** (est.)	Estimated
NearU Services	Freeman Spogli + SkyKnight (2022)	Custom Air Jan 2025	22–25 (9 states)	~1,000 (est.)	~$250–350M (est.)	**~$400–600M** (est.)	Estimated
Legacy Service Partners	Gridiron Capital (Jan 2023)	33+ add-ons; >$531M raised	22 (19 states)	~1,000 (est.)	~$250M (est.)	**~$400–600M** (est.)	Estimated
Any Hour Group	Knox Lane (2021)	7 new western-US partnerships	19	est.	est.	**~$300–500M** (est.)	Estimated
Goettl Home Services	Cortec Group (Jan 2022)	Integrating to single brand	8	est.	est.	**~$300–500M** (est.)	Estimated
Leap Partners	Concentric Equity Partners	28+ acquisitions	17	est.	~$150–250M (est.)	**~$250–400M** (est.)	Estimated
Service Experts	Brookfield Infrastructure (via Enercare)	—	12 (national)	national	~$1B+ (est.)	est.	Estimated

4.3 Commercial-mechanical platforms (separate underwriting logic)

PLATFORM	SPONSOR	SCALE	CONTEXT
Comfort Systems USA (NYSE: FIX)	Public	$9.1B FY25 rev, $1.45B adj. EBITDA, $11.94B backlog	~47.5x trading (data-center distorted); 78.7% mechanical revenue
EMCOR Group (NYSE: EME)	Public	$16.99B FY25 rev	~21–23x trading
PremiStar (ex-Reedy)	Partners Group (2021)	52 branches, 16 states, ~2,400 employees	Commercial mechanical

PLATFORM	SPONSOR	SCALE	CONTEXT
Crete United	Ridgemont Equity (2022)	40+ partners, ~3,500 techs, ~$680M rev	Sale process reported 2025
FirstCall Mechanical	SkyKnight Capital (2023)	15+ acquisitions, SE/Mid-Atlantic	Credit facility upsized Aug 2025
Astra Service Partners (Orion Group)	Alpine Investors	33 companies, 44 states	Commercial/industrial
Pueblo Mechanical & Controls	OMERS PE (2022)	Southwest commercial	—
Modigent	OMERS PE	Southwest commercial	—
United Building Solutions	AE Industrial (2025)	NE + South-Central	—

4.4 Franchise & adjacency platforms

- **Authority Brands** (Apax + BCI): 15 franchise brands (One Hour Heating & Air, Benjamin Franklin Plumbing, Mister Sparky); 31 states; 246 new franchisees / 340 territories in 2025.
- **Neighborly** (KKR, Q1 2025): 27–28 franchise brands (Aire Serv, Mr. Rooter, Mr. Electric); U.S. + Canada.
- **Roto-Rooter / Chemed** (NYSE: CHE): $911M FY25 segment revenue; franchise re-acquisitions (SF + Fort Worth, $20.6M Q1 2026).
- **ServiceMaster Brands** (Roark Capital): 7 franchise brands.
- **P3 Services** (Stellex): pure-play plumbing — Pacific NW/TX/NC/FL.
- **Repipe Specialists** (Gryphon Heritage): repiping — CA/NV/AZ.
- **Pest oligopoly (adjacency reference):** Rentokil/Terminix (~$6.8B), Rollins ($3.76B, 26 acquisitions in 2025), Anticimex (EQT, 3M+ customers).

4.5 Brand-level detail — largest platforms

Apex Service Partners (Tampa, FL). 75–107 brands, 46 states. Identifiable: Frank Gay Services (Orlando), Best Home Services (Naples), We Care Plumbing Heating & Air (Inland Empire — ownership contested with Any Hour as of Dec 2025), ProFlo (Temecula), BelRed Energy Solutions (Seattle), Academy Air, HomeBreeze, Hansen Super Techs (2025), plus ex-Frontier brands Haley Mechanical (Ann Arbor), Korte Does It All (Fort Wayne), AB May (Kansas City). ~60 add-ons in 2025. Proprietary talent engine (8,000+ technicians trained, 300+ operating leaders placed) was explicitly central to the $10B mark.

Wrench Group (Atlanta, GA). Founding four (2016): Coolray (Atlanta), Berkeys (Dallas), Abacus (Houston), Parker & Sons (Phoenix). Added: Morris-Jenkins (Charlotte, 2021), Baker Brothers (Dallas), Comfort Dynamics (Memphis), Lindstrom (SE Florida, 2024), plus brands in Denver, Fort Myers/Naples, Jacksonville, Sacramento, SF Bay, Tampa, Salt Lake City, Tucson, Louisville, Nashville, OKC, Cincinnati, Columbus, Indianapolis, southern Maryland. ~7,300 team members, 26 markets / 15 states, 2M+ customers/yr, **400,000+ service agreements**.

Sila Services (King of Prussia, PA). 40+ brands, NE/Mid-Atlantic/Midwest + GA: Reliable Heating & Air (Kennesaw), Blanton's, Honest Air, MPHAC; 2025–26 adds: Sullivan Super Service and A-Comfort (Pittsburgh), Norfolk Air & Guy Smith (VA), Live Free (NH), My Plumber Plus (DC/MD/VA), Delco Storm & Sewer, Ahrens & Condill / Tangney & Sons (Chicagoland), John Nugent & Sons (Sterling VA), New Berlin Heating (WI), Davis Heating & Air (Jul 2026). HVAC/plumbing/electrical/water treatment.

Champions Group (Irvine, CA). 20–23 brands, 1,800 field techs, 150K active members. SoCal core: Service Champions (OC), Adeedo! (LA), ASI Hastings (San Diego), JW Plumbing Heating & Air (LA), Timo's (Palm Springs); plus M&M and Bee's Plumbing & Heating (Seattle, 2025).

TurnPoint Services (Louisville, KY). 57 brands: Dauenhauer (Louisville), Anderson Plumbing Heating & Air (San Diego), Apollo Home (Cincinnati), Anthony (Kansas City), Aztec Plumbing, Arctic Air (NJ), Anytime Plumbing (Las Vegas). FL/GA/IN/KY/OK/SC/TX + West.

Strikepoint (Newark, DE — ex-Horizon). 25–30 brands, MA to FL plus TX: Horizon Services (flagship), Casteel (Atlanta), Gold Medal (NJ), Hutchinson (Cherry Hill), IERNA (Tampa), Pinellas Comfort Systems, Performance AC, Paradise Air.

The SEER Group (Dallas, TX). 37–42 brands, 11+ states: Breeze Air (Palm Desert), Kilowatt (Sherman Oaks), Swan (Dallas — 42nd brand), Tuscan (Denver), Alpine (Eugene OR), S&S Mechanical (St. George UT), All Fuel and Columbia NW (Portland).

Heartland Home Services (Macomb, MI). 42 brands, MI/OH/IN/KY/WI: Randazzo, Vredevoogd, A+Derr, Hager Fox, First Call Plumbing, Blind & Sons. 1,700+ team members, 1M+ customers/yr.

NearU Services (Charlotte, NC). 22–25 brands, 9 states: Action Air (San Diego), Custom Air & Plumbing (Sarasota, 2025).

Redwood Services (Memphis, TN). 18–23 partner brands; founders retain significant minority stakes: Tony's Plumbing (Modesto), Hope Plumbing (Indianapolis), Cardinal (Madison WI).

PART V — REGIONALITY & COVERAGE

5.1 Metro saturation map — platforms owning brands

METRO	PLATFORMS PRESENT (BRANDS)	READ
Dallas–Fort Worth	Wrench (Berkeys, Baker Brothers), SEER (Swan), Apex, Roto-Rooter (Fort Worth)	Saturated
Houston	Wrench (Abacus), Southern (Nick's Plumbing), Modigent (Southland), Comfort Systems	Saturated
Phoenix	Wrench (Parker & Sons), Pueblo, Astra (Diamondback), Modigent, Goettl-origin	Saturated
LA / Inland Empire	Apex (We Care, ProFlo), Champions (Adeedo!, JW), SEER (Kilowatt), Any Hour, ARS (Greenstar, RighTime)	Saturated
San Diego	TurnPoint (Anderson), NearU (Action Air), Champions (ASI Hastings), Any Hour (Oak Island)	Saturated
Tampa Bay	Strikepoint (IERNA, Pinellas, Performance, Paradise), Leap (Cool Wizard), Wrench	Saturated
Atlanta	Wrench (Coolray), Strikepoint (Casteel), Sila (Reliable)	Heavy
Charlotte	Wrench (Morris-Jenkins), NearU (HQ), Crete United (HQ), Service Logic (HQ), FirstCall	Heavy (HQ cluster)
Chicagoland	Sila (Ahrens/Tangney), PremiStar (Dahme), Crete (Hartwig)	Moderate
Philadelphia	Strikepoint (Horizon flagship), Sila	Moderate
Denver	Wrench, SEER (Tuscan)	Moderate

DFW, Houston, Phoenix, and the California metros each host **4–5+ platforms** — effectively closed to new platform formation; entry is tuck-in only.

5.2 What "coverage" means operationally

- **Brands per metro:** Saturated metros carry 3–5 platform brands. The platform strategy is deliberate 2–4 brand density per metro to share dispatch, marketing spend, and technician routing — not brand-count vanity.
- **Technician density math:** A brand with 40–80 techs at $250K/tech = $10–20M revenue serves roughly **1–2% of a large metro's replacement demand**; platforms cluster brands to reach **5–15% aggregate metro share**.
- **Entry pattern (hub-and-spoke):** Acquire an anchor (a $5–50M revenue metro leader), then bolt on tuck-ins within a **60–90 minute drive radius** to build density before entering an adjacent metro.
- **Brand retention:** The local family name and logo stay on the trucks (local trust drives acquisition and retention); the financial, technological, and operational plumbing behind the facade is fully replaced.

5.3 Under-consolidated territory (best remaining ground)

- **Mountain West:** Boise, Montana, Wyoming, Albuquerque/Santa Fe, most of Utah outside SLC/St. George — zero-to-one platform presence.
- **Pacific NW secondary:** Spokane, Eugene (SEER just entered), Bend, most of OR/WA outside Seattle/Portland.
- **Northern New England:** Maine, Vermont, most of NH (Sila entered via Live Free/Concord) — thin.
- **Upper Midwest:** Dakotas, most of Minnesota, Iowa, Nebraska — thin.
- **Second-tier Sun Belt:** interior Texas, Mississippi, Arkansas, interior Georgia/Alabama — Leap and Southern building, gaps remain.
- **Specific platform-formation candidate metros (0–1 platform brands):** Boise, Albuquerque, Spokane, Des Moines, Omaha, Portland ME, Burlington VT, Reno, Colorado Springs.

5.4 Household spend by region

- **National baselines:** HVAC repair $250–900/visit (typical $450–650); maintenance/tune-ups $150–500/yr; service contracts $150–500/yr; routine home maintenance ~$2,458 and emergency repairs ~$2,321 per household (Angi, broader home-maintenance basis); $10B+/yr consumer spend on HVAC repair/maintenance.
- **Regional drivers:**
  - *Climate:* SEER2 minimums are higher South/Southwest (14.3) than North (13.4); the Sun Belt runs year-round cooling with faster replacement cycles. Cold-climate states (MT, WY, ME) have the highest HVAC+plumbing establishments per capita.
  - *Housing age:* Median owner-occupied home ~41 years; roughly half built pre-1980 — older Northeast/Midwest stock drives repair/replacement.
  - *Labor rates:* Urban/HCOL $50–125/hr vs. rural $40–80/hr. Hawaii carries the highest hidden homeownership costs (~~$34,573/yr); West Virginia the lowest (~~$12,579).
- **Read:** Sun Belt = volume + year-round revenue + newer replacement wave; Northeast/Midwest = higher ticket, older systems, dual heating+cooling demand, more seasonality. Metro-level density and labor availability matter more than region.

PART VI — LABOR: THE BINDING CONSTRAINT

6.1 Supply data (BLS)

- **HVAC (SOC 49-9021):** ~425,200 mechanics/installers (2024) → ~459,700 by 2034 (+8%); **~40,100 openings/yr**, mostly replacement; median wage **$59,810** ($28.75/hr, May 2024), up from $51,390 in 2022; top decile >$82,630. Total HVAC-contractor employment incl. office ~604,402 (IBISWorld 2025).
- **Plumbers/pipefitters (SOC 47-2152):** ~504,500 (2024); +4% to 2034; **~44,000 openings/yr**; median ~$61,550–62,970; 20–25% of plumbers over 55.

6.2 Shortage projections

- HVAC industry-cited shortage ~**110,000 technicians**; ~25,000 leave annually; certified-tech count reportedly down ~50% over a decade; BBB projects up to 225,000 vacancies within five years; 50%+ of the workforce is over 45; average active tech age now exceeds 50.
- Plumbing: LIXIL-commissioned research (John Dunham & Assoc., 2024) projects **~550,000 unfilled plumbing positions by 2027** (~$33B annual economic cost); 55% of plumbers report labor shortages (NAHB 2024). For every retiring technician, ~0.6 new workers enter.
- Broader trades: JLL projects **2.1M unfilled skilled-trade jobs by 2030** (~$1T annual economic loss). Texas microcosm: projected shortages of 7,000 plumbers, 4,500 HVAC techs, 10,000 electricians by 2030 despite TSTC-style outcomes-funded training.
- Electrical: 73,500+ annual openings; demand +11% through 2032.

6.3 Wage dynamics

Wage inflation ~5–7%/yr 2024–2025 (base-salary growth 3.4–4% per Payscale/ServiceTitan — total comp rising faster on commissions/bonuses). Ladder: entry ~$54,100; intermediate ~$65,700; senior ~$77,200; supervisor ~$90,800. New A2L handling certification adds a credential barrier atop EPA Section 608.

6.4 Technology & retention architectures (the platform response)

- **Decouple revenue from headcount:** FSM software deployment (94% report immediate productivity gains); AI system-sizing and instant diagnostic quoting; remote diagnostics and predictive maintenance let senior techs triage centrally, reserving truck rolls for high-value work.
- **Retention over recruiting:** The best techs are employed and skeptical; platforms win with safety-centered cultures, explicit career-progression matrices, and commission structures aligning tech output with revenue. Apex's $10B mark was explicitly tied to its proprietary talent engine.
- **Underwriting translation:** A platform's technician-recruiting/retention machine is worth more than any single acquisition. A transferable, non-owner-dependent roster is a diligence requirement; an owner-dependent rolodex is a valuation killer. Wage inflation compresses margins unless matched by pricing power — which platforms have exercised.

PART VII — EQUIPMENT, SUPPLY CHAIN & REGULATORY

7.1 A2L refrigerant transition — timeline and current state

- **Regulatory state (AIM Act / EPA Technology Transitions Rule):** R-410A manufacturing for new residential/light-commercial equipment banned **Jan 1, 2025** (≤700 GWP required); installation of pre-2025 R-410A inventory allowed through **Dec 31, 2025**; VRF restrictions from Jan 1, 2026. Standards now: **R-454B (GWP 466)** and **R-32 (GWP 675)**.
- **The 2025 crunch:** Honeywell imposed a **42% R-454B surcharge in April 2025** (atop 15% Feb + 8% Mar hikes + $4/lb). 20-lb R-454B cylinders ran **$650–700+** (vs. R-32 ~$350), with spot reports of $700–2,000 — vs. ~$345 for R-410A in 2021. Root cause: shortage of DOT-approved A2L cylinders (Worthington is the sole domestic manufacturer), not the chemical itself. Peak-season sourcing failures hit R-454B-aligned installers.
- **Resolution (late 2025–2026):** Per HARDI's EPA-filed overview, online R-454B prices fell **50–60% from June peaks by August 2025**; Carrier reported two-week fulfillment; HARDI declared the crisis over by **October 2025**. R-32 remains cheaper and more available; commercial A2L blends (R-454A/C) still uneven.
- **OEM alignment:** Carrier/Lennox → R-454B; Daikin/Goodman/Amana → R-32. During the crunch, platforms with national distributor relationships had materially better allocation; independents paid spot and faced **4–10 week install delays**.

7.2 Equipment price inflation — SEER2 + A2L + tariffs stacked

- **Cumulative:** Equipment prices up **15–30% since mid-2025**; a $7,000 installed system (2020) now runs $10,000–14,000; one estimate puts average AC-system cost +$3,000 vs. 2024 / +$5,000 vs. 2017. Typical 2026 quote decomposition: equipment +12–18%, labor +15–20%, refrigerant +50–200%.
- **SEER2 (DOE, Jan 1, 2023):** M1 test procedure; minimums North 13.4 / South-Southwest 14.3 (heat pumps 14.3–15.2); ~70% of prior products failed the new standard — driving redesign costs and closeout dynamics.
- **A2L component cost:** UL 60335-2-40 safety components add ~$95–165 BOM; the A2L transition adds ~$1,500 to a base install.
- **Tariffs (2025 regime):** 10% baseline on imports; China up to 54–145% depending on tranche; 25% steel/aluminum; ~50% Vietnam; 24% Japan; USMCA-compliant Mexico/Canada largely exempt but tariffs can stack (a Mexican-assembled unit with Chinese components dutied twice). Manufacturer surcharges: AAON 6%, Russell HTPG 7%. HARDI flags ~$6B of Chinese HVAC/water-heating imports. Net equipment impact 5–15%+ (some estimates 25–40%); component lead times ~10–12 weeks in spots.
- **Litigation flag:** *Berg v. Bosch* (E.D. Mich., 2025/2026 filings) alleges seven OEMs (Carrier, Trane, Daikin, Bosch, Lennox, Rheem, AAON) used SEER2/A2L as pretext for coordinated pricing — HVAC PPI rose 68% 2020–early-2026 vs. ~10% raw-input inflation. **Unproven allegation; monitor.**

- **Double-edged read:** Equipment inflation raises average ticket (revenue/EBITDA per job up) but pressures affordability and shifts consumers toward **repair-over-replace — favoring service-heavy over install-heavy books.**

7.3 Plumbing & water heater materials

- **Copper:** \$2–12/linear ft material; ACR lineset \$8–15/ft installed; whole-home copper repipe \$8,000–15,000.
- **PEX:** \$0.40–4/ft; repipe \$4,000–8,000 (40–60% cheaper than copper); now dominant residential.
- **Trend:** Raw plumbing materials +~8% since 2025, continued upward pressure into mid-2026; fixture/material costs +30% since 2020 (the margin squeeze underlying the plumbing arbitrage thesis).

7.4 Regulatory landscape & buy-thesis impact

- **AIM Act phasedown:** 85% HFC reduction by 2036 (10% 2022 → 40% 2024 → 70% 2029 → 80% 2034) — a **mandated equipment-replacement supercycle** and structural demand tailwind. EPA's March 2025 reconsideration of the Technology Transitions Rule (Oct 3, 2025 proposal adjusting some GWP thresholds) is live regulatory flux, but the residential 700-GWP limit stands.
- **IRA incentives weakening:** The 25C heat-pump credit (30% up to \$2,000) **expired Dec 31, 2025** (2025 installs claimable on 2026 taxes); HEEHRA/HEAR rebates (up to \$8,000 heat pump / \$14,000 LMI total) are fully reserved/waitlisted in some states (California reserved as of Feb 2026). Net: **negative for install/upgrade-dependent theses, neutral-to-positive for service-heavy.**
- **Heat pump structural shift:** ~4.1M air-source heat pump shipments vs. ~3.1M gas furnaces in 2024 (32% gap, AHRI via RMI); 47% of new-construction primary heating. Heat pumps require electrical work → **trade convergence** (HVAC+plumbing+electrical bundling raises lifetime customer value) — the strategic argument for multi-trade platforms.
- **State patchwork:** Electrification pushes in some states vs. pro-gas preemption laws in others — affects regional mix, not the national thesis.
- **Licensing:** Trade licensing plus A2L/608 certification raises barriers to entry (good for incumbents/consolidators) while further constraining labor supply.

PART VIII — OPERATING ECONOMICS FOR LOCAL OPERATORS

8.1 Marketing / customer acquisition (2026 benchmarks)

Per SearchLight Digital's January 2026 benchmark ($14.9M Google Ads spend, 816 HVAC/plumbing contractors, 8,077 campaigns) and channel-level trackers:

CHANNEL	CPL	BOOK RATE	COST PER BOOKED/PAYING CUSTOMER
Google non-branded search	**$149**	37.6%	**$804**
Google blended search	$104	—	—
Google branded search	$34	—	—
Performance Max	$72	—	—
Google LSA (HVAC)	~$51–53	~44%	~$168–288 (9.55x ROAS — best channel)
LSA plumbing / electrical / drain	$57 / $39 / $59	—	—
Angi	$25–120/lead + $300–500/yr	3–8 pros per lead	~$542
Thumbtack	$25–80/lead	—	~$250
Water-heater campaigns	$343	—	—

- Home-services CPL rose ~10.5% in one year (~2x the all-industry rate). LSA adoption climbed from 28% (2021) to ~70% (2026) — now table stakes.
- **True blended CAC:** A $2M HVAC operator acquiring 600 new customers/yr typically carries $180–220K real acquisition cost → **CAC $300–365** (vs. the $80–133 owners self-report).
- **Structural squeeze:** PE platforms spend ~14% of revenue on marketing vs. ~8% for independents, with data-driven channel allocation tracking CPL → book rate → close rate forensically — outbidding locals on the same auctions.

8.2 Insurance & fleet cost inflation

- **Commercial auto:** Net written premiums +10.7% (2024), +10.8% (2025 proj.); carrier/state rate increases 7–30%; WTW projects construction auto liability +8–20% in 2026. Contractor vehicles ~$272/mo average (2024); fleet range $150–900+/vehicle/mo; a 20-truck shop can face $300K+/yr. Drivers: nuclear verdicts, social inflation, ADAS repair costs (bumper → $6,000 sensor recalibration).
- **Workers' comp:** ~$195/mo (plumbers) to ~$254/mo (contracting average), per $100 payroll.
- **General liability:** ~$55–79/mo typical new-customer median/average.
- **Umbrella/excess:** +5–30% in 2026; lead $1–2M layer tightest.

- **Lever:** telematics/safety programs can cut premiums 5–40% — a real diligence/value-creation item.

8.3 Consumer financing (big-ticket replacement)

- **Lender set:** GreenSky, Synchrony (ServiceTitan integration 2024; acquiring Ally Lending), Wells Fargo, GoodLeap, Wisetack, Service Finance, EGIA/OPTIMUS.
- **Economics:** Dealer fees **0–26.6%** by promo type (0% APR deferred-interest carries the highest fees); consumer rates ~6–9% APR over 60 months typical (GreenSky 7.99–19.99%; Synchrony promos 5.99–9.99%).
- **2026 headwinds:** 25C credit expiration removes a demand lever; approval tightening on lower-FICO customers reported.
- **Ticket:** Full-system replacement ~$10,000–14,000 (Modernize 56K-project dataset: $11,590–14,100); range $5,000–28,000.

8.4 Seasonality, working capital, and pricing pressure

- **Seasonality:** HVAC demand and CPL swing hard with weather; single-season (heating-only or cooling-only) operators are less attractive to platforms. Platforms smooth via multi-trade mix (plumbing/electrical steadier), maintenance-plan recurring revenue (35–50% at platform scale), and geographic diversification across heating and cooling climates.
- **Working capital:** True-ups cost sellers $100K–$500K at close; lean-AR/heavy-AP operators can owe money at close.
- **Capacity paradox:** ~80% of service businesses report being booked solid; only ~3% report trouble filling schedules — demand is not the constraint, labor is. When demand outpaces capacity, marketing engines are useless without a technician to dispatch.
- **Pricing:** PE platforms exercise pricing power and raise faster than inflation; independents absorb the lead-cost and materials squeeze.

PART IX — AGGREGATION CHALLENGES & THE INTEGRATION PLAYBOOK

9.1 Multiple compression signals

- Platforms recap at 16–20x; add-ons 4–8x — the arbitrage holds. But GF Data shows H1 2025 LMM platforms and add-ons both averaging ~7.2x (platforms historically carry a 0.5–1.5x premium; the convergence is a compression signal below the trophy tier).
- Rates cap platform-level multiples and cascade into add-on pricing; renewed tightening is the single biggest downside risk. Wrench's $1.3B refinance and Champions' move into a perpetual vehicle (BXPE) signal both capital availability and **longer holds**.

9.2 Diligence economics (recap)

QofE add-back rejection (5–15% of headline EBITDA lost; 20–40% price chips), owner-dependency discounts (20–30% or earnout), customer/technician concentration penalties, and working-capital true-ups ($100–500K) are the standard buyer levers. Seller counter: sell-side-style QofE pre-LOI ($25–75K; routinely saves $500K+ in price erosion).

9.3 The post-acquisition playbook (platform standard)

- **Months 1–3 — visibility and control:** Convert cash-basis to accrual/GAAP; departmental P&Ls by service line (residential vs. commercial, install vs. break-fix); centralize HR, payroll, dispatch, fleet.
- **Months 4–6 — leverage scale:** Renegotiate materials/vehicles/equipment with distributors and OEMs on national pricing (distributors that managed dozens of fragmented relationships now face sophisticated procurement organizations); optimize marketing with forensic CPL/book-rate/close-rate tracking.
- **Throughout — protect the facade:** Keep the legacy family name and logo on the trucks; replace the financial, technological, and operational plumbing behind it. Keep **pricing and dispatch local for the first ~12 months** — heavy early centralization triggers the documented attrition failure mode (the 15% member-base loss case).
- **Margin target:** 18–22% EBITDA within 24 months of integration.

9.4 "Roll-up of the roll-ups" risk

A historically high number of PE-backed platforms are seeking exits in 2026–2027 into compressed valuations and selective buyers. In a downturn, demand shifts from discretionary upgrades toward emergency repair — favoring service-heavy platforms. No single catastrophic named roll-up failure has surfaced publicly, but the structural warning signs (earnout shortfalls, autonomy-driven attrition, platform-multiple compression) are well documented. Distressed-platform acquisition becomes a live strategy if add-on multiples compress below ~4x in target metros.

PART X — BUY-SIDE IMPLICATIONS (smbX.ai)

10.1 Where to hunt (next 6–12 months)

- **Platform formation in under-consolidated metros:** Boise, Albuquerque, Spokane, Des Moines, Omaha, Portland ME, Burlington VT, Reno, Colorado Springs — 0–1 platform brands; market-leader independents available at **5–8x** vs. 15–20x to buy into a platform.
- **Anchor-then-cluster:** Acquire a $3–8M EBITDA metro leader (up to $5–15M for a larger mandate), then tuck in 2–4 shops within a 90-minute radius at 4–6x before the majors arrive. Platform criteria for the anchor: real non-owner GM, 20%+ recurring revenue, ServiceTitan-class stack, transferable technician roster, clean A2L/608 compliance. Pay 7–11x only if it genuinely clears platform criteria; otherwise price as a large add-on at 6–8x.
- **Multi-trade from day one:** HVAC + plumbing + electrical smooths seasonality, expands cross-sell, and rides the heat-pump trade-convergence — drives the exit multiple from ~5x toward the low teens.
- **Cap new-construction/GC-dependent revenue at <20%** of any target.
- **Saturated-metro rule:** If a target metro already has 3+ PE-owned competitors, downgrade to tuck-in-only.

10.2 Value-creation levers to underwrite

- **Recurring revenue is the #1 multiple driver** (worth 3–4 turns): push maintenance-plan penetration toward 40%+, auto-charge toward 90%.
- **Procurement consolidation:** equipment, refrigerant, fleet insurance (telematics) — independents overpay 10–20%+ on these lines.
- **Tech stack pre-exit:** FSM/KPI dashboards are a diligence multiple-lifter; accrual books + departmental P&Ls close the information-asymmetry gap.
- **Technician engine:** centralized recruiting/retention is the scaling gate, not capital.

10.3 Underwriting guardrails

1. Underwrite rollover equity to return par, not 2–4x.
2. Assume ~5–7% annual wage inflation and require matching pricing power.
3. Model equipment inflation (A2L + tariffs) as raising ticket but pressuring close rates; prefer service-heavy over install-heavy.
4. Stress-test for rate tightening — the single biggest multiple-compression risk.
5. Audit maintenance-contract language (change-of-control, transferability) and technician retention **before LOI** — "The Trap."
6. Run sell-side-style QofE before every LOI.

10.4 Thresholds that change the strategy

- **Mortgage rates 7%+ / renewed tightening** → slow platform buys; acquire tuck-ins from distressed platforms.
- **AIM Act 700-GWP rollback** → weakens the replacement supercycle tailwind; re-weight toward service.
- **Add-on multiples <4x in target metros** → pivot to distressed-platform acquisition ("roll-up of the roll-ups").
- **A target metro adds a second platform brand** → shift from platform formation to fast tuck-in accumulation or exit-to-strategic.
- **A2L equipment inflation stabilizes <5%/yr + financing loosens** → replacement demand recovers, add-on multiples firm — accelerate.
- **Commercial-auto inflation stays >15%** → prioritize telematics/safety in diligence (5–40% premium reduction available).

10.5 Likely acquirers vs. likely sellers (next 24 months)

Likely acquirers (fresh capital + deployment mandate): Apex (post-Apollo), Sila (Goldman, early hold), Champions (Blackstone BXPE perpetual), Redwood (Altas, early hold), Wrench (refi'd Sep 2025), Guild Garage (Oak Hill, fresh), SEER, Leap, Southern/NAEHS, Neighborly (KKR, fresh).

Likely sellers (mature holds / processes reported): ARS/Rescue Rooter (2026 sale explored), Crete United (sale process reported), TurnPoint (OMERS since 2020), Heartland (TJC since 2020), Strikepoint (New Mountain, maturing), potentially Legacy and NearU as sponsors approach hold-period end.

smbX.ai relevance: every "likely seller" platform is a potential source of divested brands; every "likely acquirer" is a competing bidder in saturated metros — and both categories validate the buy-side representation gap for the family offices, independent sponsors, and operator-acquirers hunting the anchor-and-cluster territory above.

APPENDIX — DATA CONFLICTS, CAVEATS & SOURCE NOTES

A.0 Provenance and corrections applied

Consolidated from three research workstreams:

1. *U.S. Residential HVAC & Plumbing Services: A PE Aggregator's Market Assessment* — TAM/SAM/SOM, consolidation state, labor, regulatory.
2. *U.S. Residential Home Services Aggregator Landscape* — platform map, valuations, brand detail, regionality, operating challenges.
3. *The Home Services Consolidation Supercycle* — macro capital environment, multiple arbitrage mechanics, six-trade teardown, integration playbook.

Data conflicts between the three are reconciled inline and registered in A.1 below.

Corrections applied 2026-07-26. A primary-source adjudication of this document's market sizing — *TAM Reconciliation: U.S. HVAC, Plumbing & Electrical Trades* — found two figures wrong. Both are corrected in the body above.

FIGURE	WAS	NOW	WHY
Electrical trade size	$347.5B	~~$235B (2022) / **~~$265–280B (2026)**	The old figure was IBISWorld's "Electricians" report (NAICS 23821), which by its own definition includes low-voltage, data cabling, telecom and fire/security work — the wrong scope for a trades TAM. The correction moves the six-trade total from $835.5B to ~$753–768B.
Source of the ~$392B combined 238220 revenue	2022 County Business Patterns	**2022 Economic Census, table EC2223BASIC**	CBP publishes establishments, firms, employment and payroll — never receipts. The value was right; the citation was not.

Two readings changed with them:

- **Electrical's 21.6% large-enterprise share is commercial and data-center revenue**, not residential roll-ups — the EC&M Top 50 alone is roughly 22% of the market. Residential electrical is therefore *less* consolidated than a "mid stage" reading implied, which makes it better hunting ground rather than worse.
- **Plumbing's size lead over HVAC is a total-market lead** driven by commercial, institutional and industrial work. On a residential-only basis HVAC is at least as large. The comparison now carries a scope label wherever it appears.

Any rendering of this report dated before 2026-07-26 carries the retired electrical figure. The consolidated successor to this document is the Home Services market master in Studio.

A.1 Reconciled data conflicts across the three source documents

ITEM	CONFLICT	RESOLUTION USED
Apex revenue/headcount	Earlier report: ~$1.3B rev / 8,000 tradespeople / "early 2025" Apollo. Later reports: $3B+ rev / $500M+ EBITDA / 13,000 employees / May 2026 Apollo.	Use the May 2026 figures ($10B EV incl. debt, ~$3B rev, 13,000 employees, ~60 add-ons in 2025). The "8,000 technicians" figure appears to reference techs trained/supported cumulatively, not current field headcount.
Service Logic EV	Trade-press ~$3.1B vs. Supercycle doc's "$4.1B deal" for Bain/Mubadala.	Present as $3.1–4.1B range; neither sponsor-confirmed.
Plumbing market size	$121.5B (IBISWorld mid-2024) vs. $169.8B (2025) vs. $191.4B (2026 projection).	Definitional dispersion (new-construction/commercial inclusion). Present the range; underwrite conservatively.
HVAC business count	118,433 (Supercycle) vs. 120,461 (IBISWorld 2026) vs. 111,200 combined (Census).	Census is the employer-establishment authority; IBISWorld includes non-employers; figures are not additive.
Wrench brand count	17 / 25 / 28 across sources.	Directories lag acquisitions; use 17–28 with 26 markets / 15 states / ~7,300 staff as the stable frame.
Apex brand count	19 publicly listed vs. 75 vs. 107 reported.	Present as 75–107 (platform-reported) with public directory lag noted.

A.2 Caveats

- **Estimated vs. disclosed:** Roughly two-thirds of the platform-map EV figures are estimates from the Section 4.1 framework, flagged in the master table. Platform multiples for Sila, Service Logic, Champions, and Redwood are press-derived from "sources familiar"; sponsors stated terms not disclosed.
- **Per-technician revenue benchmarks** are advisory/accounting-source consensus, not a hard public dataset.
- **Ownership is fluid** (e.g., the "We Care" brand contested between Apex and Any Hour as of Dec 2025); confirm current ownership in diligence.
- **Berg v. Bosch** OEM price-coordination claims are unproven litigation.
- **Census establishment counts are 2022 vintage;** exact per-size-band absolutes require the raw SUSB file.
- **Forward-looking items** (550K plumber shortfall by 2027; PE at ~50% of HVAC revenue by 2030; heat pumps ~50% of heating by 2035; 2.1M unfilled trade jobs by 2030) are projections, not facts.
- **Regulatory flux is live:** AIM Act reconsideration and IRA incentive expirations could shift the demand picture in either direction.
- **CRS is a proprietary analytical metric** derived from Census SUSB data, not an official government statistic.

A.3 Primary source families

Census CBP/SUSB (NAICS 238220); BLS OOH/OES (SOC 49-9021, 47-2152); IBISWorld; Capstone Partners; Axial; S&P Global Market Intelligence; GF Data; Grata; McKinsey home-services research;

Bain Global PE Reports; Reuters/Bloomberg/Homepros deal coverage; ACHR News; Contracting Business; HARDI EPA filings; SearchLight Digital CPL benchmark (Jan 2026); WTW insurance projections; RMI/AHRI heat-pump shipment data; platform websites and sponsor press releases; PE trackers (CT Acquisitions, Pipeline On, PitchBook, CB Insights, Craft Dossier).

Document generated July 2026. Consolidates three research reports commissioned for smbX.ai home-services vertical strategy. Estimated figures should be re-verified at engagement time; platform ownership and brand rosters change monthly in this market.